
Setting up **Invoice Document Recognition** in Oracle Fusion Payables

Streamlining Accounts Payable with AI-Powered Automation

A comprehensive guide to implementing and configuring Intelligent Document Recognition for automated invoice processing in Oracle Fusion Cloud ERP.



What is Intelligent Document Recognition (IDR)?



AI-Powered Solution

Fully integrated within Oracle Fusion Cloud ERP, leveraging machine learning to automatically read, extract, and interpret invoice data from various document formats.



Automated Extraction

Processes supplier invoices from PDFs and scanned images, automatically recognizing and extracting key attributes such as supplier, amount, date, line items, and tax information.



Accuracy & Efficiency

Eliminates manual data entry errors, improves data quality, and significantly reduces the time required to process invoices from entry through payment.



Accelerated Workflow

Streamlines the entire invoice-to-payment cycle, enabling faster processing and improving cash flow management through end-to-end automation.

Why IDR Matters for Your Organization

IDR transforms the accounts payable function from a labor-intensive, error-prone manual process into an intelligent, automated workflow. By reducing dependency on manual data entry and improving accuracy, organizations can redirect AP resources toward strategic initiatives while maintaining compliance and control over invoice processing.

Prerequisites and the IDR Process Flow

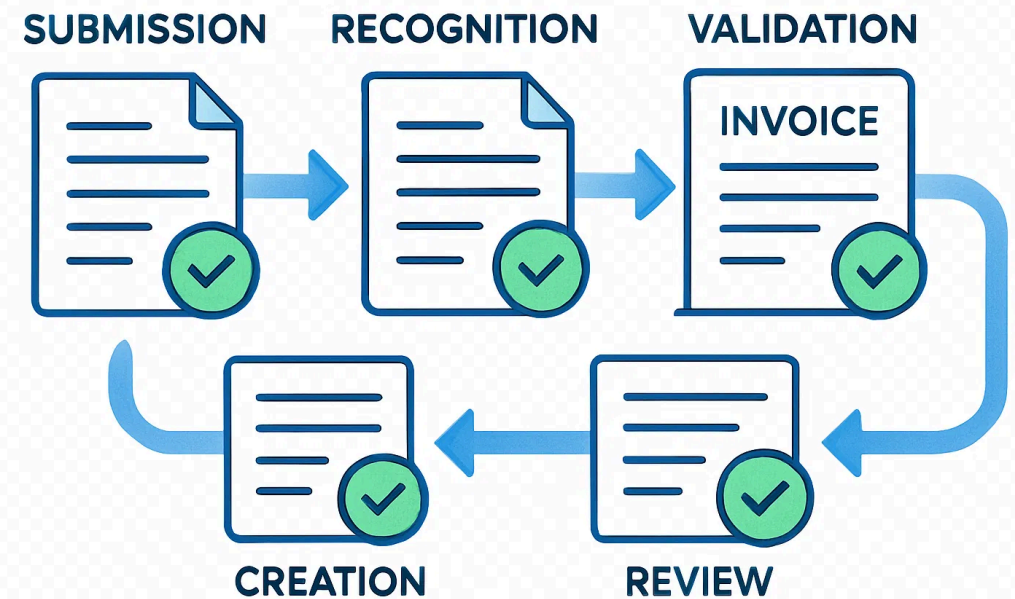
PREREQUISITES

- ✓ Oracle Fusion Payables must be implemented and operational
- ✓ Required roles and privileges (Accounts Payable Manager)
- ✓ Accurate supplier master data with correct names and addresses
- ✓ Email infrastructure for invoice submission and routing

KEY SUCCESS FACTORS

- ★ IDR relies on supplier name and address matching for recognition accuracy
- ★ Data quality directly impacts recognition rates and exception handling

FIVE-STAGE PROCESS FLOW



The 4 Major Steps to Configure IDR

1

Configure Scanner Settings

Set up image processing parameters for scanning paper invoices, ensuring quality standards for document capture and recognition.

2

Manage IDR Options

Activate IDR and configure core settings including email address, business unit derivation, and requester recognition parameters.

3

Schedule Import Process

Configure the Import Payables Invoices scheduled process to run at frequent intervals, moving recognized data into the Payables system.

4

Configure Routing Rules

Set up approval workflows and exception handling rules to manage invoices requiring validation or manual review.

TECHNICAL SETUP FLOW

TECHNICAL SETUP

- 1 
- 2 Configuration steps
- 3  Settings icons
- 4  Business unit mapping



Step 1 & 2: Scanner Configuration and IDR Activation

1

Scanner Configuration

TASK NAME

Manage Document Sequences for Payables

PURPOSE

Configure image processing settings for scanned paper invoices to ensure proper digitization and quality standards.

QUALITY STANDARDS

- ✓ Minimum resolution: 200-300 DPI for clear text recognition
- ✓ Supported formats: PDF, TIFF, JPEG, PNG
- ✓ File size: Optimize for processing efficiency
- ✓ Image clarity: Ensure legible document content

2

IDR Activation

NAVIGATION PATH

Setup and Maintenance > Financials > Payables > Manage Intelligent Document Recognition Options

STATUS SETTING

The status must be set to **Active** to enable IDR processing and begin the supplier synchronization process.

EMAIL ADDRESS ASSIGNMENT

Once activated, Oracle provides a unique email address specific to your instance. This email is used for receiving supplier invoices.

✉ Recommended: Use a corporate email with forwarding rules rather than giving the Oracle email directly to suppliers.

NEXT ACTION

After activation, proceed to Step 3 to schedule the Import Payables Invoices process for data synchronization.

Step 2 (Continued): Business Unit Derivation - Methods 1 & 2

1

Default User-Based Derivation

HOW IT WORKS

Uses the **DEFAULT_ORG_ID** profile option to assign a default Business Unit to each user processing invoices.

WHEN TO USE

Best for organizations where each AP user is dedicated to a single Business Unit.

SETUP COMPLEXITY

Low - Configure through Manage Administrator Profile Values task.

2

Email Routing Attribute

HOW IT WORKS

Specifies Business Unit in the email subject line using an **underscore separator** (e.g., Invoice_BU01).

WHEN TO USE

Recommended when suppliers won't use underscores in subject lines or you have 1-2 Business Units.

SETUP COMPLEXITY

Low - Configure subject line format in IDR options.



The next slide covers two advanced derivation methods (Sender Email Address Mapping and Recipient Email Address Mapping) for complex email routing scenarios, plus important fallback considerations.

Step 2 (Continued): Business Unit Derivation - Methods 3 & 4

3

Sender Email Address Mapping

HOW IT WORKS

Creates a mapping table linking sender email domains to specific Business Units. IDR checks the sender's email and routes accordingly.

WHEN TO USE

When emails are sent to individuals representing specific Business Units, then forwarded to the IDR email.

SETUP COMPLEXITY

Medium - Requires mapping table configuration.

4

Recipient Email Address Mapping

HOW IT WORKS

Maps recipient email addresses (not sender) to Business Units. Useful when emails are forwarded through multiple recipients.

WHEN TO USE

When the sender's email is not the first in the forwarding chain and you need to identify the actual recipient.

SETUP COMPLEXITY

Medium - Requires mapping table configuration.

IMPORTANT CONSIDERATIONS

For Matched Invoices

Business Unit defaults from the **Purchase Order**. When an invoice is matched to a PO, the BU assignment from the PO takes precedence over email-based derivation methods.

If BU Derivation Fails

System defaults to the Business Unit assignment of the **supplier's pay site**. This provides a fallback mechanism to ensure every invoice is assigned to a Business Unit.

Choosing the Right Method

Select your derivation method based on your email infrastructure and organizational structure. Consider factors such as the number of Business Units and supplier communication patterns.

QUICK DECISION GUIDE

Single BU: Use Method 1. **Multiple BUs, Simple:** Use Method 2. **Sender-Based:** Use Method 3. **Complex Forwarding:** Use Method 4.

Step 2 (Continued): Requester Email Domain Recognition

REQUESTER EMAIL DOMAIN NAME CONFIGURATION

Purpose

IDR automatically recognizes and extracts the requester from the invoice document by identifying the requester email address if it appears on the invoice. This eliminates the need for manual requester entry in Accounts Payable and improves data accuracy by automatically populating the requester field from the document itself.

Setup Instructions

Enter your organization's email domain name(s) in the Maintain Intelligent Document Recognition Options page. If your organization uses multiple domain names, separate them with semicolons without any spaces. IDR will use these domains to identify and validate requester email addresses found on invoices.

Example: company.com;corp.net;subsidiary.org

Validation Requirements

The invoice requester details are imported into Payables only if the email address is recognized as a **valid email address**. A valid email address must be configured as the employee's work email in the Human Capital Management (HCM) application. If the email address on the invoice does not match an employee record in HCM, the requester field will remain empty and require manual entry.

 **Critical Requirement:**

The requester email address must match exactly with the employee record configured in HCM for successful recognition and automatic population. Ensure your HCM employee records contain accurate work email addresses that correspond to those appearing on supplier invoices.

Step 2 (Continued): Invoice Line and Tax/Freight Configuration

☰ INVOICE LINE RECOGNITION

Configuration Options

Define how IDR should handle invoice lines during processing. Options include single line per invoice or multiple lines per invoice based on your business requirements and invoice format patterns.

Line Item Extraction

IDR extracts detailed line item information including description, quantity, unit price, and amount for each line on the invoice. This enables accurate line-level matching against purchase orders and general ledger coding.

Data Accuracy

Proper line recognition ensures that invoice details are captured accurately, reducing the need for manual correction and improving the overall quality of invoice data in the Payables system.

Configuration Tip:

Choose the line recognition option that best matches your supplier invoice formats. Most organizations benefit from multiple line recognition to capture detailed invoice breakdowns.

📊 TAX AND FREIGHT HANDLING

Tax Calculation

Configure how tax amounts should be calculated and displayed on recognized invoices. Options allow for automatic tax line creation, consolidation, or separate line item treatment based on your accounting requirements.

Freight Charges

Define handling for freight and shipping charges, including whether they should be recognized as separate line items, consolidated with product charges, or treated as a distinct cost category for allocation purposes.

Compliance and Coding

Ensure tax and freight handling aligns with your organization's accounting policies, tax compliance requirements, and general ledger coding structure for proper financial reporting.

Best Practice:

Align tax and freight configuration with your finance team's requirements. Consistent handling ensures accurate cost allocation and simplifies reconciliation processes.

Step 3 & 4: Process Scheduling and Routing Rules

3

Schedule Import Payables Invoices Process

This is the critical bridge that moves recognized invoice data from the imaging solution into the Oracle Fusion Payables interface.

-  **Frequency:** Schedule to run every 15-30 minutes for timely processing
-  **Process Name:** Import Payables Invoices (scheduled concurrent process)
-  **Data Movement:** Transfers extracted invoice data into Payables invoice interface
-  **Impact:** Ensures rapid invoice availability for approval and payment processing

4

Configure Routing Rules

Establish rules for managing invoices that fail validation or require approval, ensuring exceptions are handled efficiently.

-  **Configuration Task:** Manage Invoice Approval and Validation Rules
-  **Exception Handling:** Route invoices needing revalidation or manual review
-  **Approval Workflows:** Define approval hierarchies and routing by business unit
-  **Responsibility:** Assign exceptions to appropriate AP personnel for resolution

Integration and Workflow Continuity

Steps 3 and 4 work together to create a complete automated workflow. The scheduled process (Step 3) continuously feeds recognized invoices into Payables, while routing rules (Step 4) ensure that exceptions and approvals are handled systematically. This combination enables organizations to achieve high-volume, low-touch invoice processing while maintaining control and compliance.

Best Practices for Maximizing IDR Success - Part 1



Gather Comprehensive Test Data

Recommended Sample Size:

Collect at least **5-10 invoices from each of your top 10-20 suppliers** before going live.

Rationale:

Test data allows IDR to learn supplier patterns and improves recognition accuracy for your specific invoice formats and supplier base.

Action:

Use this test data to validate configuration settings and measure recognition rates before full deployment.



Maintain Clean Supplier Master Data

Critical Factor:

IDR relies on **supplier name and address matching** as a primary recognition mechanism.

Data Audit:

Review and standardize supplier names, addresses, and contact information to ensure consistency across all records.

Impact:

Clean master data directly correlates with higher recognition rates and fewer exceptions requiring manual intervention.

→ The next slide covers email infrastructure security, continuous exception monitoring, and key success metrics to track for ongoing IDR optimization.

Best Practices for Maximizing IDR Success (Part 2)



Implement Secure Email Routing

Recommended Approach:

Use a **corporate email address with forwarding rules** instead of giving the Oracle IDR email directly to suppliers.

Benefits:

Provides control over invoice flow, enables business unit routing, and maintains security by limiting direct access to the IDR system.

Configuration:

Set up mailbox rules to automatically forward invoices to the Oracle-provided IDR email address.



Monitor and Resolve Exceptions

Continuous Improvement:

Regularly review invoices in **"Needs Revalidation" or "Incomplete" status** to identify patterns.

Learning Model:

Each resolved exception improves IDR's machine learning model, leading to better recognition accuracy over time.

Feedback Loop:

Use exception data to refine configuration settings and supplier master data quality.

📍 Key Success Metrics to Track

- ✔ **Recognition Accuracy Rate:** Target 85-95% of invoices processed without manual intervention within the first 3 months.
- ✔ **Processing Time Reduction:** Measure the time saved per invoice compared to manual data entry (typically 70-80% reduction).
- ✔ **Exception Resolution Time:** Monitor how quickly exceptions are resolved and use this data to improve configuration.
- ✔ **Cost per Invoice:** Calculate the cost reduction achieved through automation and reduced manual processing effort.

Summary and Implementation Roadmap

KEY CONFIGURATION POINTS

- ✓ IDR is a powerful, AI-driven solution that significantly automates the accounts payable function when properly configured
- ✓ The core setup focuses on the Manage Intelligent Document Recognition Options page and scheduling the Import Payables Invoices process
- ✓ Business unit derivation strategy is critical—choose the method that aligns with your email infrastructure and organizational structure
- ✓ Supplier data quality directly impacts recognition accuracy and exception rates—invest in data cleanup upfront

IMPLEMENTATION ROADMAP

1 Assess Supplier Data Quality

Conduct a comprehensive audit of your supplier master data, focusing on name consistency, address accuracy, and site configurations. Clean and standardize data before IDR activation.

2 Define Business Unit Derivation Strategy

Evaluate your email infrastructure and organizational structure to select the most appropriate business unit derivation method.

3 Begin Pilot Program

Start with 5-10 invoices from your top 3-5 suppliers. Monitor recognition rates, review exceptions, and refine configurations before full rollout.

4 Monitor and Optimize

Continuously track IDR performance metrics, review exception patterns, and adjust routing rules and configurations to improve accuracy over time.

BEST PRACTICES FOR SUCCESS

